



CEMENTING THE FUTURE: HOW ADANI CEMENT IS LEADING INDIA'S GREEN INFRASTRUCTURE REVOLUTION

As India races toward its \$5 trillion economy vision, Adani Cement—comprising Ambuja Cements and ACC, among other marquee brands—has emerged as the fastest-growing player in the sector. With record expansion and cutting-edge sustainability measures, the company is reshaping how India builds: faster, cleaner and smarter

India's infrastructure boom—driven by the government's focus on highways, urban housing, and industrial corridors—has made the cement industry a key engine of national growth. Amid this backdrop, Adani Cement has surged ahead as the fastest-growing building materials and solutions provider in India, expanding capacity by over 50 per cent in less than three years. But what sets it apart is not just speed—it's sustainability.

Adani Cement: Origins and Strategic Brand Acquisitions

Adani Cement, the cement and building materials arm of the Adani Group, entered the Indian cement sector with bold ambition and rapid execution. The company's foray into cement began in 2022, when it acquired Ambuja Cements and ACC Limited—two of India's most established and respected cement brands. This acquisition marked one of the largest M&A deals in Indian infrastructure history, valued at over USD 10.5 billion, and instantly

positioned Adani as a major force in the cement industry. Founded in 1983, Ambuja Cements was known for pioneering energy-efficient manufacturing and robust distribution networks across western and northern India. Meanwhile, ACC, with roots going back to 1936, had built a legacy of engineering excellence and innovation. Both brands brought with them deep operational experience, strong brand recall, and established markets—giving Adani Cement a ready-made platform for growth. Rather than create a new brand from scratch, Adani Cement chose to build on the strength of Ambuja and ACC, integrating them under a unified strategic framework while preserving their distinct identities. The cement business leverages synergies with other Adani Group companies in operations, procurement, logistics, and digital transformation—rapidly scaling capacity while lowering costs and carbon intensity. The company has also established Geoclean, its waste management and co-processing arm, as a key vertical supporting its circular economy initiatives. With strategic investments

What's behind the rebound in cement prices surge?

When cement prices rise, it's not just an industry story — it affects every homebuilder and infrastructure project in India. After years of stability, a 50-kg bag that cost ₹333 in May 2024 now sells for ₹360. The surge is driven less by demand than by soaring raw material costs. Fuel costs, particularly petroleum coke (petcoke), which forms over half the sector's energy mix, have jumped 17 per cent internationally to \$115* per tonne. Coupled with rupee depreciation, this adds ₹75 per tonne to production costs. Leading producers are especially exposed, with petcoke accounting for 70–95 per cent of fuel consumption. Gypsum, a small but critical ingredient for cement quality, is another culprit. India imports 35 per cent of its gypsum, increasingly from Oman at double pre-sanction prices. Domestic sources are depleting, while flue gas desulphurisation (FGD) output remains minimal. Freight costs now dominate delivered gypsum prices in northern and eastern India, further inflating costs.

Despite these pressures, India's cement remains globally competitive and long-term demand is robust, with per capita consumption far below China or Turkey. Still, margins are squeezed, and price relief for consumers remains distant. Cement — the bedrock of India's growth — is now a frontline indicator of global commodity shocks.

*\$1 = ₹87.7



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